22. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three months ended March 31, 2015 and 2014 are calculated as follows:

(1) Common stock

(In millions of Korean won and thousands of shares, except per share data)	2015	2014
Net income as reported on the statements of income	₩ 4,519,323	₩ 7,484,680
Net income available for common stock	3,924,175	6,499,012
Weighted-average number of common shares outstanding	129,462	130,923
Basic earnings per share (in Korean won)	₩ 30,311	₩ 49,640

(2) Preferred stock

(In millions of Korean won and thousands of shares, except per share data)	2015	2014
Net income as reported on the statements of income	₩ 4,519,323	₩ 7,484,680
Net income available for preferred stock	595,148	985,668
Weighted-average number of preferred shares outstanding	19,625	19,854
Basic earnings per preferred share (in Korean won)	₩ 30,326	₩ 49,646

(B) Diluted earnings per share

The Group has one category of potentially dilutive ordinary shares: stock options. Dilutive earnings per share is calculated by adjusting the weighted average number of ordinary shares outstanding to assume conversion of all dilutive potential ordinary shares.

Diluted earnings per share for the three months ended March 31, 2015 and 2014 are calculated as follows:

(1) Common stock

(In millions of Korean won and thousands of shares, except per share data)	2015	2014
Net income available for common stock and common stock equivalents	₩ 3,924,195	₩ 6,499,115
Weighted-average number of shares of common stock and common stock equivalents	129,465	130,939
Diluted earnings per share (in Korean won)	₩ 30,311	₩ 49,635

(2) Preferred stock

(In millions of Korean won and thousands of shares, except per share data)	2015	2014
Net income available for preferred stock and preferred stock equivalents	₩ 595,128	₩ 985,565
Weighted-average number of shares of preferred stock and preferred stock equivalents	19,625	19,854
Diluted earnings per preferred share (in Korean won)	₩ 30,325	₩ 49,961

23. Cash Flows Generated from Operating Activities

Adjustments and changes in assets and liabilities arising from operating activities for the three months ended March 31, 2015 and 2014 are as follows:

- Adjustments

(In millions of Korean won)	2015	2014
Adjustments for:		
Income tax expense	₩ 1,592,828	₩ 2,074,529
Finance income	(1,373,566)	(1,053,766)
Finance costs	974,622	624,053
Pension	313,024	402,604
Depreciation	4,563,385	4,004,084
Amortization	305,944	252,337
Bad debt expense	72,064	128,305
Gain on valuation of equity method	(55,208)	(30,136)
Gain on disposal of property, plant and equipment	(33,705)	(43,367)
Loss on disposal of property, plant and equipment	33,074	53,309
Obsolescence and scrapping of inventories	153,840	116,600
Loss on disposal of assets classified as held-for-sale	-	723,869
Dividend income	(61,066)	(1,307,086)
Other	(162,990)	(328,120)
Adjustments, total	₩ 6,322,246	₩ 5,617,215